

2011-2014

Executive Overview

TIMELINE

- 2011
- 2012
- 2013
- 2014

MARKET

- Africa
- APAC
- Canada
- EMEA
- EU
- LATAM
- US

CATEGORY

- Furniture
- Office Supplies
- Technology

SEGMENT

- Consumer
- Corporate
- Home Office

12.64M

Total Sales

25.035K

Total Orders

1.47M

Total Profit

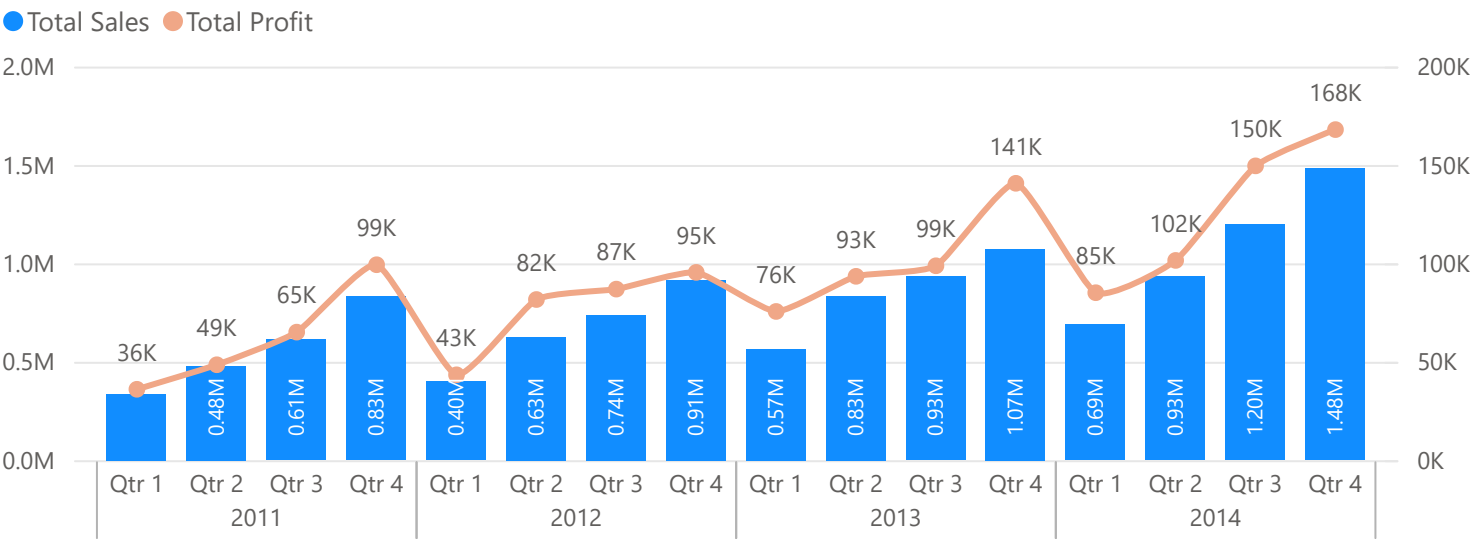
11.62%

Profit Margin

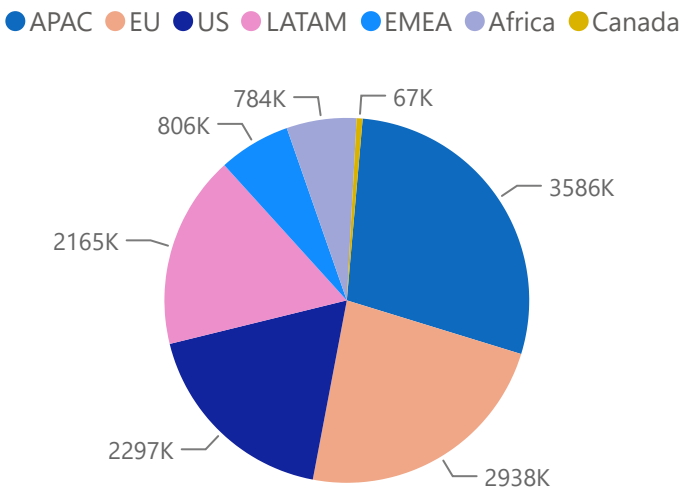
14.29%

Average Discount

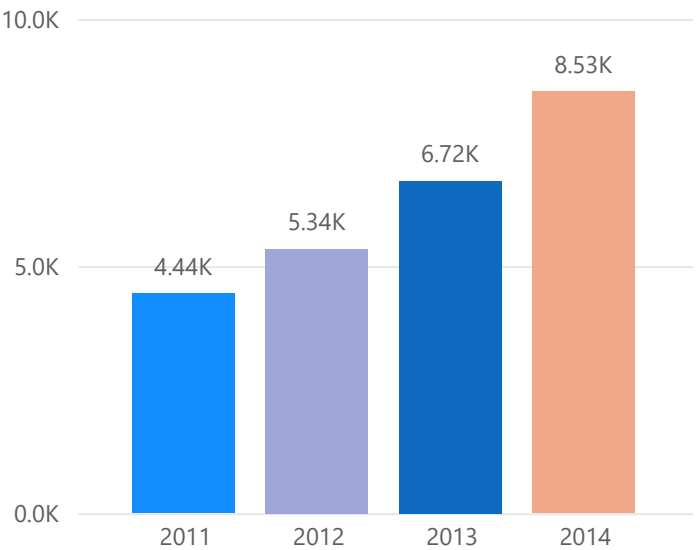
Quarterly Sales and Profit Trend



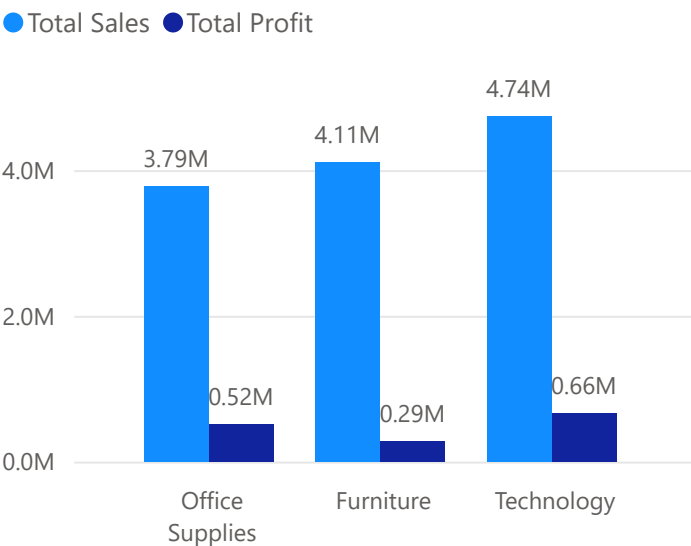
Total Sales by Market



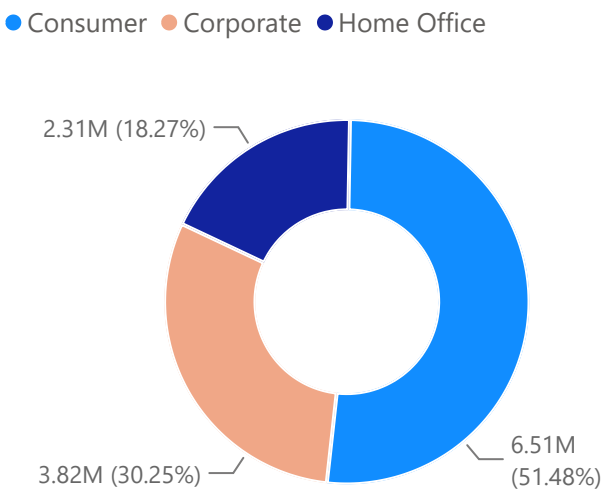
Orders Growth YoY



Sales and Profit by Category



Total Sales by Segment



2011-2014 Geographical Analysis

TIMELINE

- ▶ 2011
- ▶ 2012
- ▶ 2013
- ▶ 2014

MARKET

- APAC
- EU
- US
- LATAM
- EMEA
- Africa
- Canada

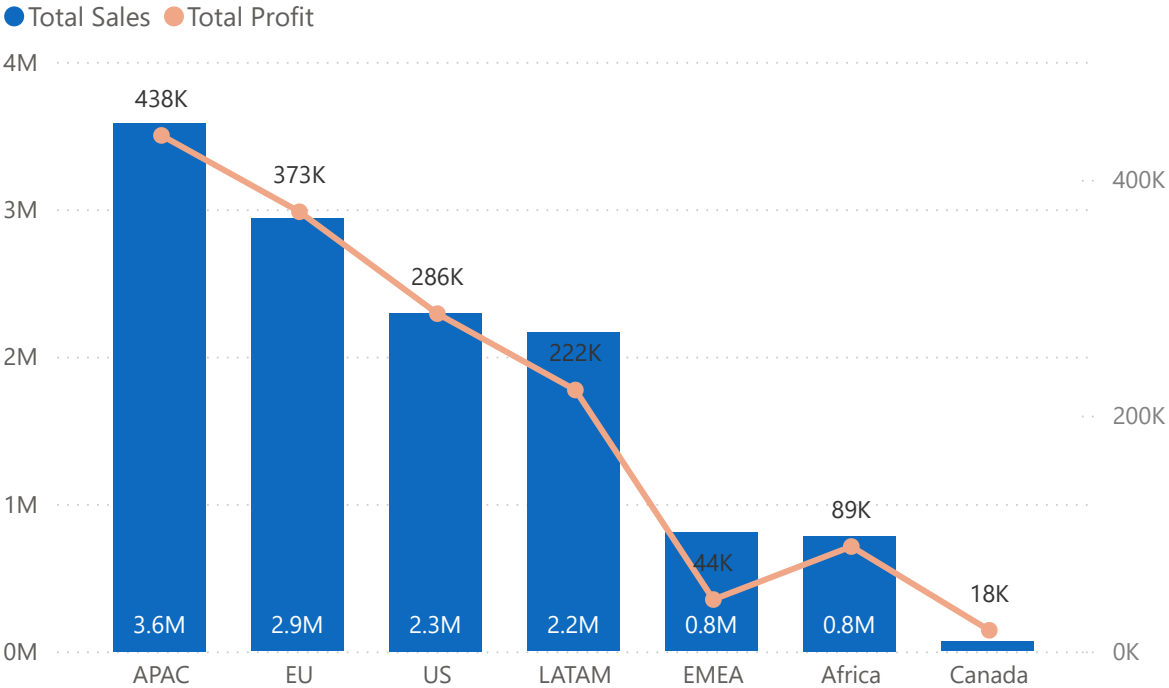
CATEGORY

- Technology
- Office Supplies
- Furniture

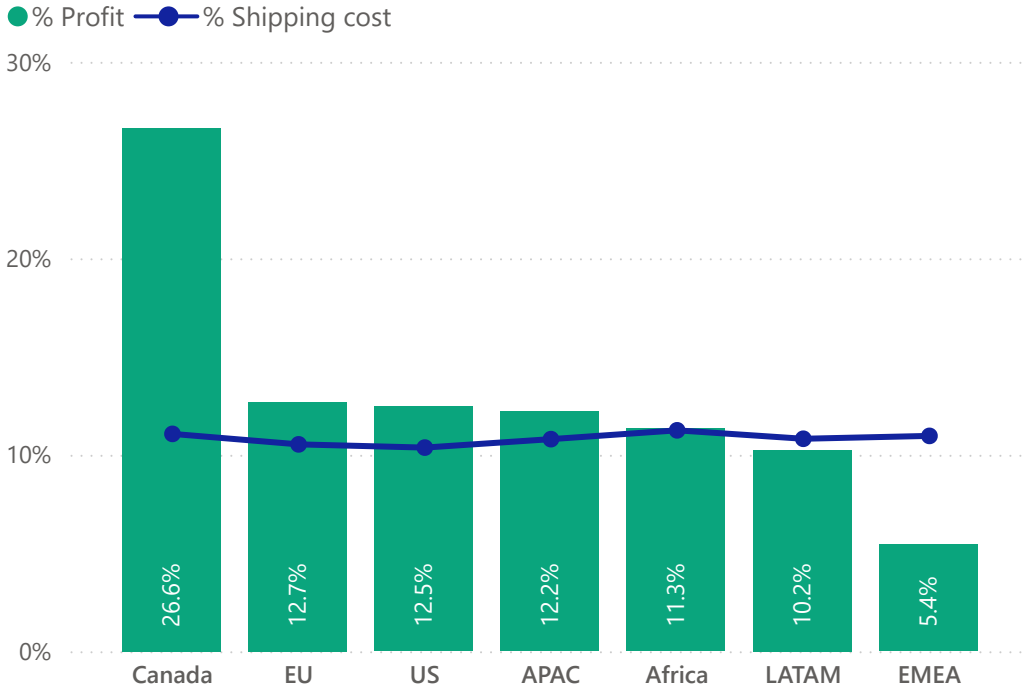
SEGMENT

- Consumer
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- Home Office

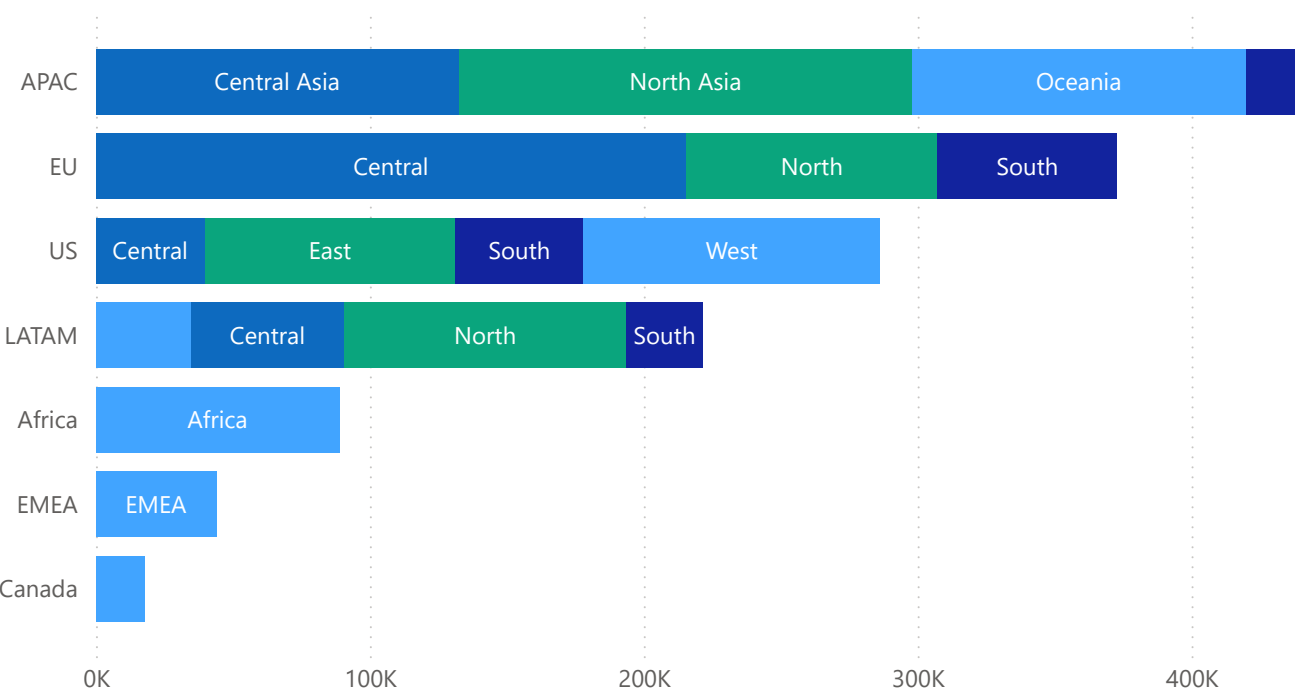
Total Sales & Profit by Market



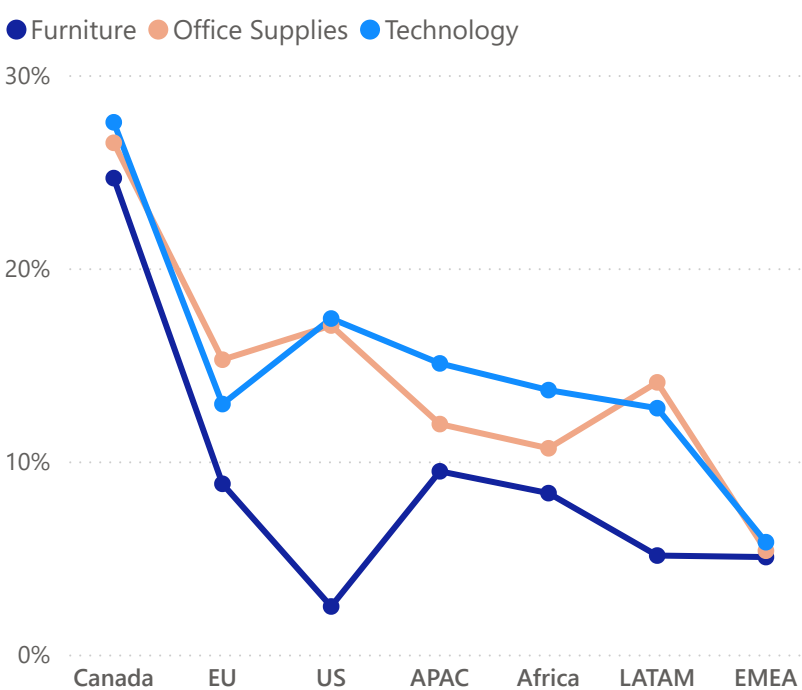
% Profit & Shipping Cost by Market



Profit Distribution by Region in Market



Profit Margin by Market & Category



2011-2014

Products Analysis

TIMELINE

- 2011
- 2012
- 2013
- 2014

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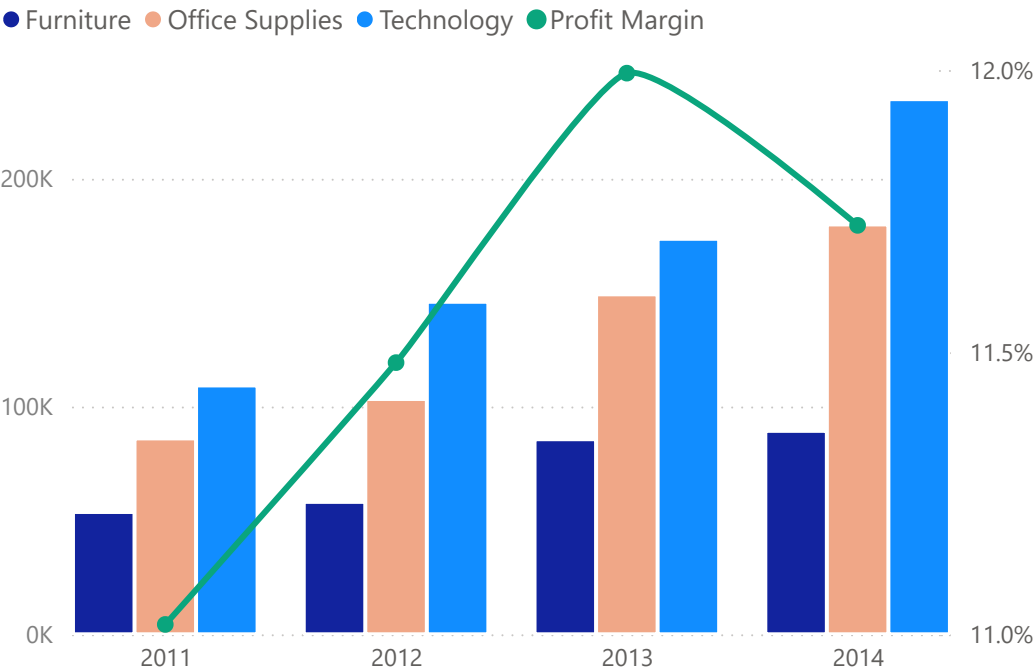
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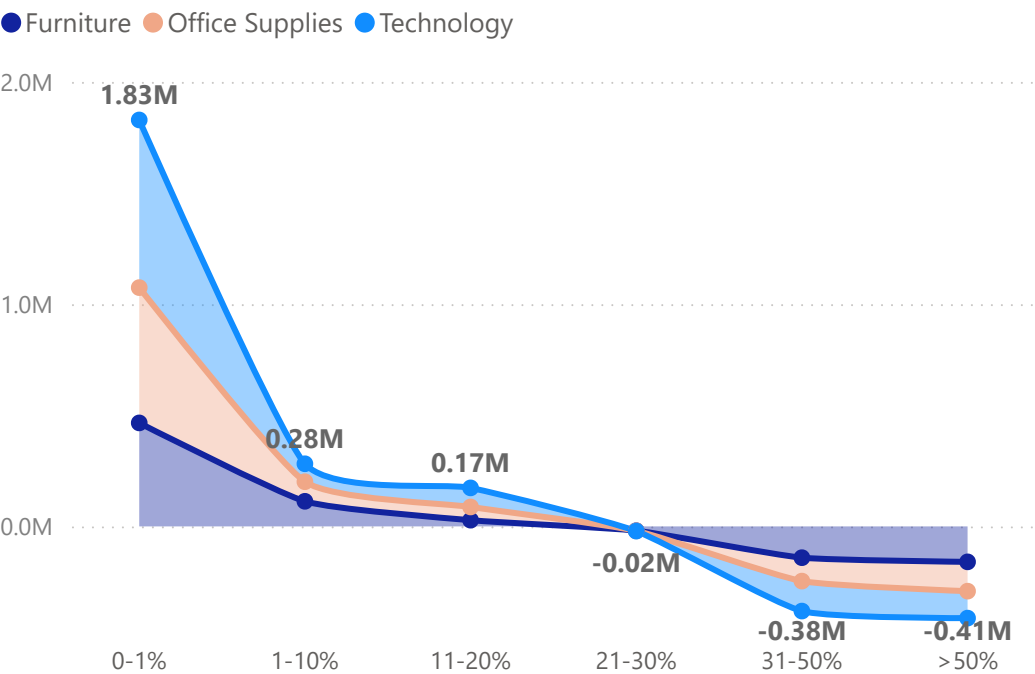
SEGMENT

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Profit & Profit Margin Growth YoY by Category



Profit per Category by Discount Distribution



Sub-Category Performance Table

Category	Total Sales	Total Profit	Profit Margin	Orders (Profit <0)	Avg of discount
Technology	4,744,691	663,779	13.99%	2,105	13.53%
Accessories	749,307	129,626	17.30%	630	12.05%
Copiers	1,509,439	258,568	17.13%	508	11.71%
Machines	779,071	58,868	7.56%	436	16.96%
Phones	1,706,874	216,717	12.70%	745	14.58%
Office Supplies	3,787,330	518,474	13.69%	4,763	13.74%
Appliances	1,011,081	141,681	14.01%	364	14.17%
Art	372,163	57,954	15.57%	817	11.74%
Binders	461,972	72,452	15.68%	1,349	17.93%
Envelopes	170,926	29,601	17.32%	523	13.17%
Fasteners	83,254	11,525	13.84%	579	14.06%
Labels	73,781	15,150	20.53%	504	12.08%
Paper	244,307	59,208	24.23%	507	10.95%
Storage	1,127,124	108,461	9.62%	1,262	13.85%
Supplies	243,090	22,583	9.29%	547	12.79%
Furniture	4,110,884	286,782	6.98%	2,747	16.81%
Bookcases	1,466,559	161,924	11.04%	690	15.38%
Chairs	1,501,682	141,974	9.45%	1,045	16.31%
Furnishings	385,609	46,967	12.18%	768	15.11%
Tables	757,034	-64,083	-8.47%	480	29.07%
Total	12,642,905	1,469,035	11.62%	7,541	14.29%

2011-2014

Operation Analysis

TIMELINE

- ▶ 2011
- ▶ 2012
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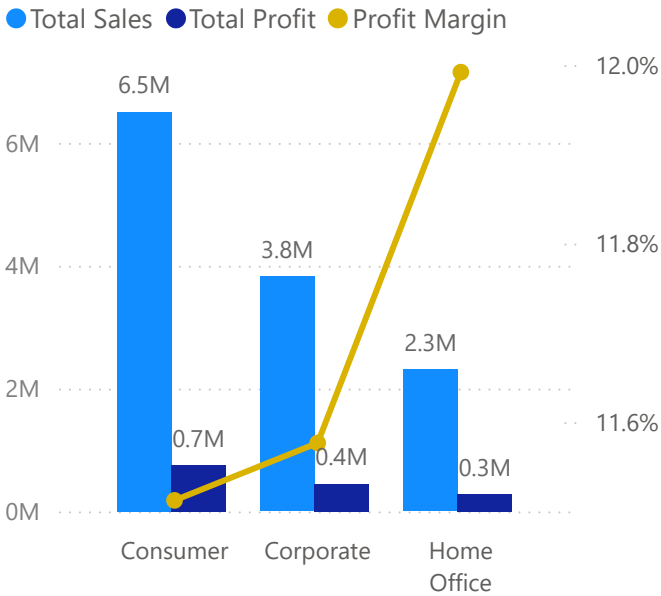
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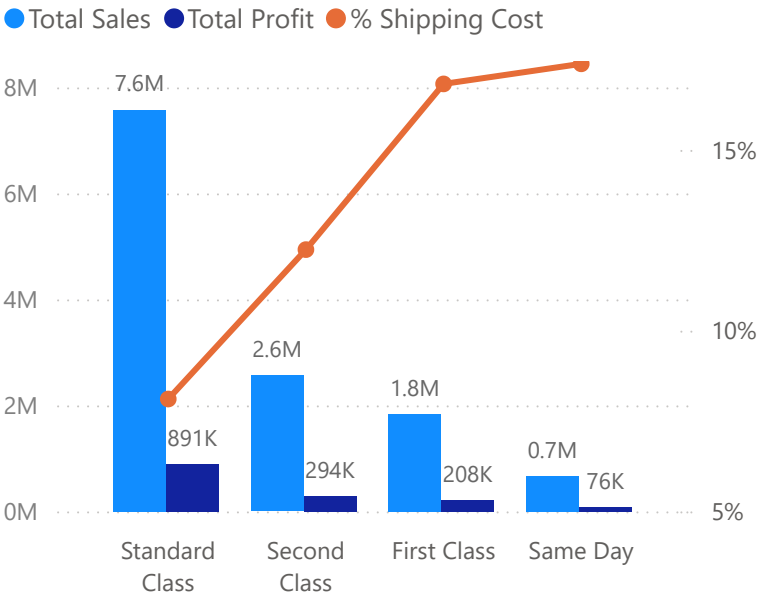
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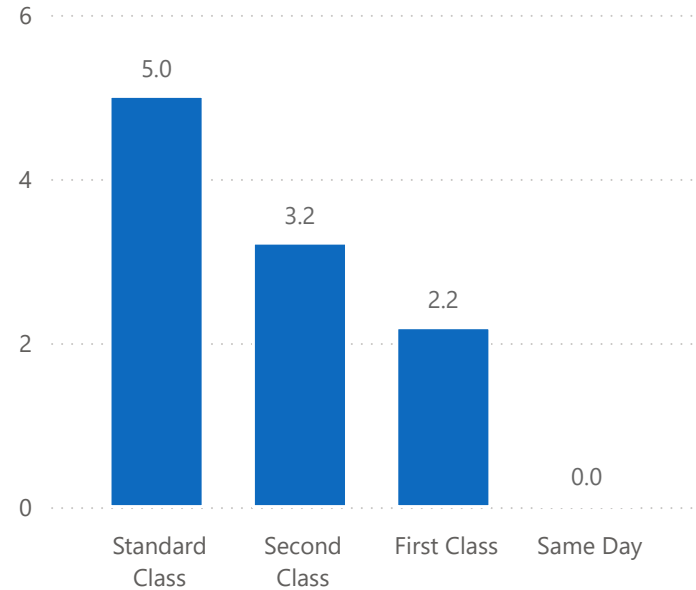
Total Sales & Profit by Segment



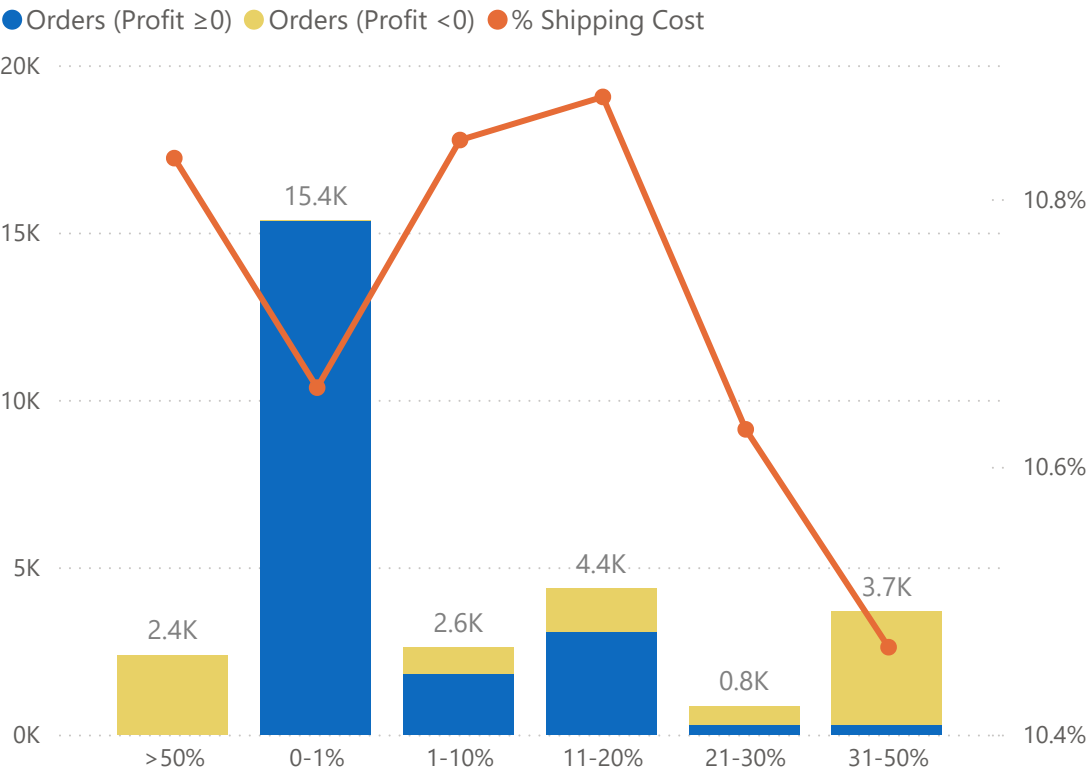
Sales Performance by Delivery Method



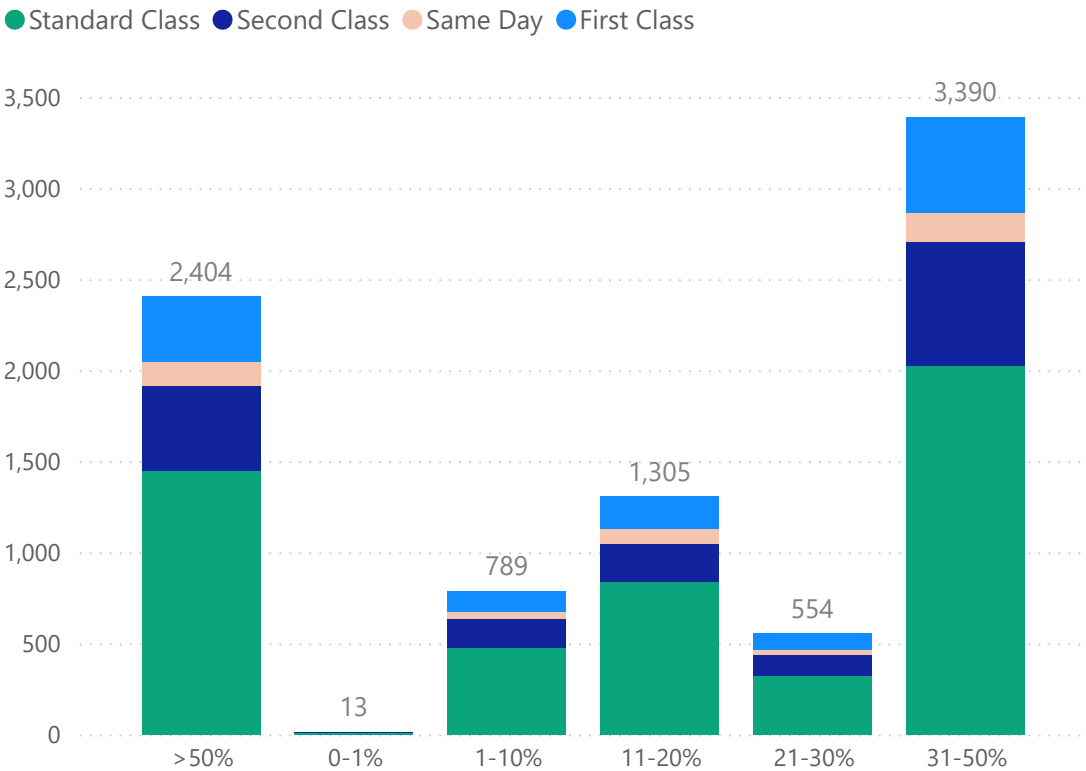
Average Shipping Days



Total Orders by Discount Range



Total Orders (Profit < 0) by Delivery Method & Discount Range



STRATEGIC INSIGHTS & RECOMMENDATIONS FOR BOD

Summary of key findings and priority actions

STRENGTHS – BUILD ON

-  **CAGR 24% – Sustainable Growth**
Revenue increased continuously for 4 years (2011-2014), from \$2.26M to \$4.30M; Profit increased in parallel from \$249K to \$504K.
-  **Technology – "Cash Cow" of SuperStore**
+\$663K profit, 14% margin, led by Copiers and Phones. The "Canon imageCLASS" product had a 40.9% margin.
-  **APAC + EU account for 50% of Total Revenue**
Solid foundation in the two largest markets with stable margins of 12-13%.

WEAKNESSES – FIX URGENTLY

-  **Discount $\geq$ 30% resulted in a loss of \$813K**
More than half of the profit was "burned" by excessive discount policies. This needs tightening immediately.
-  **Tables Sub-Category resulted in a loss of \$64K**
Revenue was \$757,000, but this Sub-Category still incurred losses. This product line needs to be completely restructured or cut back.
-  **EMEA – Margin Chi 5.4%**
This market is operating below its efficiency threshold. A comprehensive strategy assessment is needed in this region.

RECOMMENDED STRATEGIC PRIORITY

Tighten Discount Policy

- Apply a maximum **discount of 20%** to all products. Any discount exceeding this limit requires management approval.
- Estimated annual profit improvement is +\$400K if discounts $\geq$ 30% are removed.

Optimizing & Restructuring "Table"

- This product line is incurring an average loss of \$16K per year. Recommendations:
- Increase selling prices by at least 15%.
 - Reduce inefficient SKUs.
 - Renegotiate purchase prices with the supplier.

Comprehensive Audit of EMEA

- **5.4%** profit margin in EMEA is a warning sign.
- Assessment is needed of: logistics costs, product mix, level of local competition, and the potential for price increases or decreases in some inefficient sub-markets.

Double Down Technology

- Increase marketing and inventory budget for Technology (especially **Copiers & Phones**). This is the most profitable "growth engine".
- Consider expanding "Copier" into the **US & African** markets.

Exploring "Canada" Market

- Canada has the highest margin globally at 26.6%, but only contributes **\$67K** in revenue (accounting for **0.5% of the total**). This is a "hidden gem" that needs proper investment to scale up in 2015–2016.

Optimizing Q1 & Q2

- **Q4** consistently outperforms (accounting for **30–35%** of annual profits), but **Q1 and Q2 are weak**. It is recommended to implement a special "Early Year Campaign" for the first two quarters to balance cash flow.